

LECTURE NO 2

HS-403: Management and Entrepreneurship

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MANAGEMENT



Introduction to Management

Organization of Lecture

1. What is Management?
2. Definitions of Management.
3. Is Management Science or Art?
4. Difference between Administration and Management.
5. Model for Management.
6. Levels of Management.
7. Who is a Manager?
8. Roles of a Manager.
9. Management Skills.
10. Management Functions.

1. What is Management?

- Management is simply defined as a process of achieving organizational goals by getting work done from the others.
- Management is the attainment of organizational goals in an effective and efficient manner through planning, organizing, staffing, leading and controlling organizational resources.
- Organizational resources include men (human beings), money, machines and materials.

2. Definitions of Management

- ❑ "The use of people and other resources to accomplish objectives." – *Louis E Boone & David L Kurtz*.
- ❑ "The act of getting things done through people." – *Marv Parker Follet*.
- ❑ "Management is the art of knowing what you want to do in the best and cheapest way." – *Frederick Taylor*.
- ❑ "The process of designing and maintaining an environment in which individual, working together in groups efficiently to accomplish selected aims." – *Herold and koontj*.

3. Is Management Science or Art?

- **Management as an Art:**

- Art refers to the way of doing specific things. It indicates how an objective can be achieved.

- **Management as a Science:**

- Science may be described as a systematized body of knowledge based on proper findings and exact principles and is capable of verification.

4. Difference between Administration and Management

DIFFERENCE	MANAGEMENT	ADMINISTRATION
Nature of work	It is concerned about the determination of objectives and major policies of an organization.	It puts into action the policies laid down by the management.
Scope	It takes major decisions of an enterprise as a whole	It takes decisions within the framework set by the management
Level of authority	It is a top level activity.	It is middle level activity.
Nature of status	It consists of owners who invest capital in and receive profits from a enterprise.	It is a group of managerial personnel who use their specialized knowledge to fulfill the objectives of an enterprise.
Nature of usage	It is used in business enterprises.	It is popular with government, military, educational, and religious organizations.
Decision making	Its decisions are influenced by public opinion, government policies, social, and religious factors.	Its decisions are influenced by the values, opinions, and beliefs of the managers.

5. Model for Management

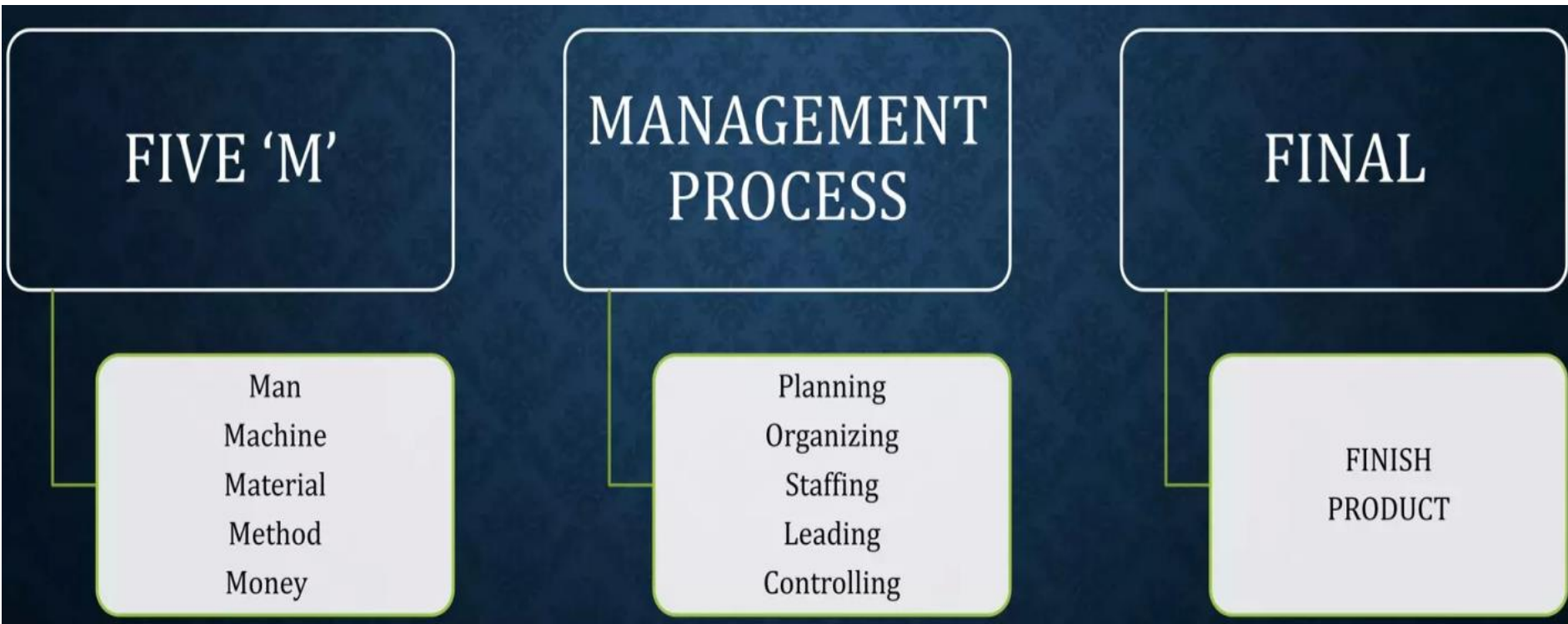


Figure 1.

6. Levels of Management [1/2]

- **First line [Lowest] or Supervisory Management**
 - Made-up of white collar supervisor.
- **Middle line**
 - Example: Sales Manager, Plant Manager, Personnel Manager, Department Heads.
- **Top Management**
 - Consist of Board Chairman, Executives, MD's, Secretary.

6. Levels of Management [2/2]

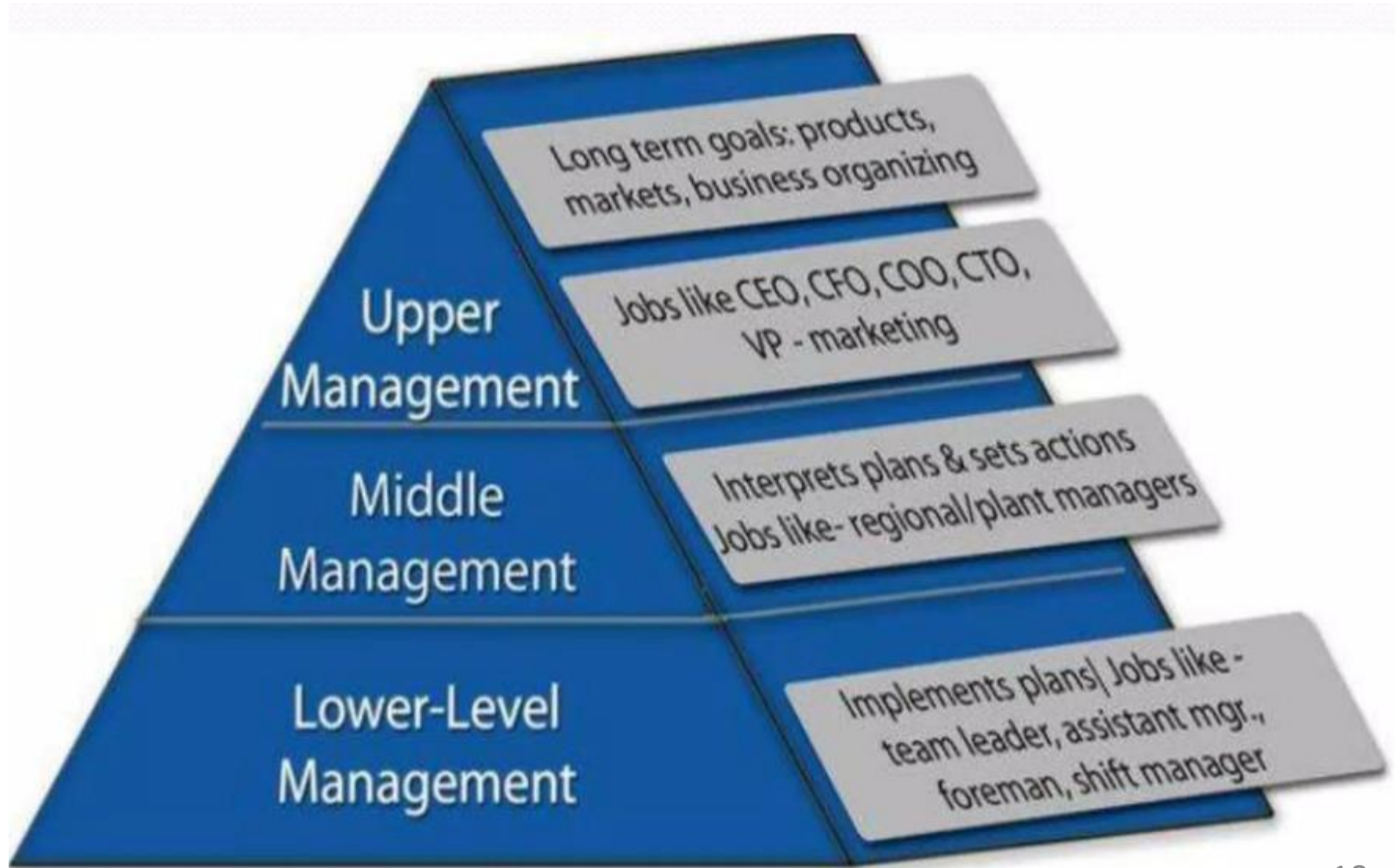


Figure 2.

7. Who is a Manager?

A manager is the person responsible for planning and directing the work of a group of individuals, monitoring their work, and taking corrective actions when necessary.

8. Roles of a Manager [1/4]

- Roles of a Manager are classified into 3 types:
 1. Interpersonal
 2. Informational
 3. Decisional

8. Roles of a Manager [2/4]

1. **Interpersonal:** Performs symbolic duties like greeting visitors, signing legal documents, leader, etc. and direct, motivate and initiate the work from the employees.
 - *Figurehead-* Sometimes managers attend social functions involving employees, and handling out merit certificates and other awards to outstanding employees.
 - *Leader-* Gives direct commands and orders to subordinates and make decisions.
 - *Liaison-* Co-ordinates between different departments and establish alliances between different organizations.

8. Roles of a Manager [3/4]

2. Informational:

- *Monitor*- The manager seeks and receives information about those factors which affect his activities. These factors may be within the organization as well as outside it. By playing a monitor role, Managers gain an understanding of the Organization and its environment.
- *Disseminator*- Communicate to employees the organization's vision and purpose.
- *Spokesperson*- In the spokesperson role, the manager represents his organization or unit while interacting with outsiders. More precisely, the Spokesperson Speaks on behalf of the Organization and transmits information on Organization plans, policies, and actions to outsiders.

8. Roles of a Manager [4/4]

3. Decisional:

- *Entrepreneur*- Commits organization resources to develop innovative goods and services.
- *Disturbance Handler*- As a role of disturbance handler, the manager has in charge and takes corrective actions when Organization faces unexpected crises.
- *Resource Allocator*- Allocates existing resources among different functions and departments.
- *Negotiator*- Works with suppliers, distributors and labor unions.

9. Management Skills [1/2]

- *Humanist Skills*- An individuals' ability to cooperate with other members of the organization and work effectively in teams.
 - **Example:** Interpersonal relationships, solving people's problem and acceptance of other employees.
- *Technical Skills*- A persons' knowledge and ability to make effective use of any process or technique constitutes his technical skills.
 - **Example:** Engineer, accountant, data entry operator, lawyer, doctor etc.

9. Management Skills [2/2]

- *Conceptual Skills*- Ability of an individual to analyze complex situations and to rationally/reasonably process and interpret available information.
 - **Example:** Idea generation and analytical process of information.

10. Management Functions [1/3]

1. Planning
2. Organization
3. Staffing
4. Leading
5. Controlling

10. Management Functions [2/3]

1. *Planning*- It is the basic function of management. It deals with chalking out a future course of action & deciding in advance the most appropriate course of actions for achievement of pre-determined goals.
2. *Organizing*- When two or more persons work together towards a common goal then authority and responsibility are allocated and this is known as organizing.
3. *Staffing*- It is the recruitment and training of personnel according to the organizational needs.

10. Management Functions [3/3]

4. *Leading*- After the three planning functions i.e. planning, organizing and staffing. The next step is to initiate the work, and it is known as leading. Sometimes it is also known as motivating, directing or implementing.
5. *Controlling*- It is the process of comparing the actual performance with the standard performance and taking necessary actions if there is a deviation.

References

- ❑ Management by Margret Tien, Kathryn Bartol, Graham Mathews, David Martin.
- ❑ Management by Robbin & Cotter.